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MASME

Introduction

The aim of the course is to apply concepts that you have been learning during the program in the context of small and medium-sized enterprises, that represent 90% of the companies and more than half of the GDP and Jobs in all countries all over the world.

We will make especial emphasis in what is different in SMEs, although many of the things we will see are useful in any organization, specially to manage a subsidiary, business unit or a division. Also for entrepreneurs who have the challenge to make their companies grow from Small to Medium to Large companies.

Sessions carry a title and have a preparation sheet to focus the discussion on certain aspects of the case, but the cases tend to be multidisciplinary and address aspects related to business, finance, management and people. Always discussing aspects related to Shareholders and Governance. Any of you working in a SME will be part of or close to the governance and need to know key aspects.

Objectives

Understand the business, which is a critical aspect in any company, and of course in the SMEs. We dissect the business focusing on the following issues:

- The different income statements; profits, liquidity and financial needs, typical big issue in many organizations.
- The Business Model, its Competitive Advantage and Value Creation
- The growth challenges and professionalization
- The need of dynamism and initiative that SMEs require
- In particular, the introduction of innovation technologies and new ways to compete by SMEs
- Organization and People to grow
- Relation between the company, the management, the family (in the case of family businesses) and the shareholders. Also conflicts of interest between shareholders, managers, family and the business itself.

We will also dedicate some sessions to crisis management and to know the key legal issues that any manager needs to know to manage crisis and try to refloat companies. We will refer more to the Spanish legal issues extrapolating it to other countries as well. The basic framework is the same worldwide.

Learning Outcomes

- Analyze information by selecting the relevant information for the decision making process.
- Analyze information in a multidisciplinary environment focusing on the impact of the taken decisions.
- Understand the different life phases in a small enterprise and its problems /opportunities.
- Create solutions and develop action plans for these standard problems /opportunities.

Competences

Displaying an entrepreneurial spirit and making the necessary changes with decisiveness and personal responsibility (Initiative).

Applying a structured, sound process in the analysis of business situations and decision making that includes the following phases: diagnosis of the problem, selection of criteria, identification of alternatives, weighted analysis and selection of an alternative with its corresponding plan of action.

Preparing executive reports that are structured, concise and clear for the analysis and decision making in business situations.

Content

We will dedicate the first two weeks to analyze the problems of business focusing in the financial statements and what they tell us about value creation.

Then, we will see cases related to the cycle of business and key aspects for SMEs:

- Initial stage (entrepreneurship: ideas, initiatives and fundraising).
- Growth stage, professionalization, management and government issues.
- Build ups by companies' acquisitions and inorganic growth, something that many SMEs do.
- Crisis and refloating stage: emphasizing labor and financial problems.

We will see cases of very different industries, ownership (family businesses, a majority shareholder, very divided equity, social businesses). We will emphasize government issues (shareholders, board of directors and management).

For each case we will share take aways and will have a final lecture.

Methodology

- This is a case-method base course. We will devote two sessions to some cases to deepen in the analysis and discussion. We will devote the last 5 minutes of each session to summarize the take aways.
- We will have four sessions with guest speakers and a final lecture.
- The cases that we will study are very rich in information and therefore its preparation must be exhaustive. We will devote two sessions to some cases to go more in depth. All exhibits are in Virtual Campus.

The outline indicates only the exhibits that are not included in the case.

- There is flexibility to bring your own problems / challenges / experiences to class. Frequently some students see in class situations very much related to their own experiences.

Evaluation

The evaluation will be, basically, based on three items:

- Basically, class participation.
- Failure to attend class will affect your final grade.
- Each student will submit one short report based on one of the course cases (at your choice). It will count for 20% of the final grade.

Course Outline & Bibliography

1	<u>Typical problems in SMEs</u> Case: C-822-E Domo y Nara CP-213-E Preparation sheet FN-653-E Debt instruments for funding SMEs
2	<u>Adding and capturing value...or destroying value</u> Case: C-821-E Corusa Exhibits and Supp.1 (Virtual Campus) CP-212-E Preparation sheet JN-31-E Customer Debt Management: A Business-Legal Perspective (Virtual Campus)
3	<u>Adding and capturing value...or destroying value (II)</u> Case: Same material session 3
4	<u>From an idea to a company: business, people and financing</u> Case: M-1194-E Campus Cerdanya MP-152-E Preparation sheet File: Campus Cerdanya Economic Model (Virtual Campus)
5	<u>Growth & professionalization</u> Case: M-1158-E Fronda A MP-126-E Preparation sheet
6	<u>Growing through acquisitions</u> Case: M-1214-E Fronda B MP-178-E Preparation sheet

7	<u>Entrepreneurship. Learning from a failure</u> Guest speaker: Sandro Bortesi, ex CEO & Founder of Racing Masters.
8	<u>Growing through acquisitions (II)</u> Case: M-1162-E Mármoles del Sur (A) MP-123-E Preparation sheet MS-33-E, MS-34-E, MS-35-E Supplements
9	<u>Growing through acquisitions (III). Legal Areas.</u> JN-23-E Issues in the Sale of a Business: The Buyer's Perspective (Virtual Campus) JN-28-E Shareholders: Rights and Precautions (Virtual Campus)
10	<u>Mission, business and governance (I)</u> M-1324-E La Fageda: A Crazy Initiative (A): Challenges of Growth and Governance in 2014 M-1325-E La Fageda: A Crazy Initiative (B): Challenges of Growth and Governance in 2014 (Virtual Campus post class) MP-224-E Preparation Sheet La Fageda
11	<u>From manager to acquiring a small company</u> Pau Sansa, buyer and CEO, FF Bofill
12	<u>Relaunching the company (I)</u> Case: M-1134-E Afilent (A) MP-118-E Preparation sheet MS-31-E, MS-32-E Supplements JN-39-E Company in Crisis: Insolvency as a Possible Solution for Business Continuity of the company
13	<u>Relaunching the company (II)</u> (Same material as the session 12) JN-27-E Workforce Adjustment Measures for Companies in Crisis (Virtual Campus)
14	<u>Relaunching the company (III)</u> Case: M-1242-E Pigsá (A) Pigsá Exhibits and Supplements (Virtual Campus)
15	<u>Relaunching the company (IV)</u> Case: M-1243-E Pigsá B JN-30-E Liability of Company Officers, Directors and Equity Owners
16	<u>Adapting endlessly, creating the future</u> Oriol Segarra, shareholder, Mármoles del Sur and Afilent
17	<u>Growth and Principles of good Governance</u> Case: M-1302-E Montserrat Abbey and Sanctuary: Moving into a Second Millennium MP-207-E Preparation sheet MS-51-E Abbey and Sanctuary of Montserrat: Walking into the Second Millennium- Supplement
18	<u>Mission, business and governance (III)</u> Case: SM-1626-E Eibar Club Preparation sheet Eibar Club

19	<u>From manager to founder of a company ... and make it grow</u> Pep Garcia, co-founder and CEO, Maxchief Europe
20	<u>Final lecture</u> JN-29-E Annual Accounts (Virtual Campus) JN-32-E Corporate Enterprises (Virtual Campus)

Sustainable Development Goals (SDG)

SDG 8 - Decent Work and Economic Growth

SDG 9 - Industry Innovation and Infrastructure

SDG 10 - Reduced Inequalities

SDG 12 - Responsible Consumption and Production

SDG 16 - Peace, Justice and Strong Institutions

SDG 17 - Partnerships for the Goals



Prof. Albert Fernández Terricabras

Director and Professor of Accounting and Control
Professor of Entrepreneurship

Interests Area

- * Small and Medium Companies
- * Entrepreneurship and Social Entrepreneurship
- * Strategy implementation, Planning, Budgeting and Performance appraisal systems and incentive systems
- * Cost systems

He is the Head of the Accounting and Control Department and Director of Finaves, the IESE's venture capital funds that invest in projects of Alumni). He has a large experience as a consultant and being member of Boards of Directors of companies in different industries. Many of the companies in which he has served are or have been SMEs.

He is a Doctor of Business Administration from Boston University and MBA'91 from IESE.